Punchlist
Real Estate, LLC

PUNCHLIST CAPITAL · INVESTMENT SUMMARY

52 Hoyt St

Stamford, CT · Multifamily · 7 units · 7,599 SF

ACQUISITION | 5-YEAR HOLD | BASE CASE | CLOSING 1/1/2027

CREDIT GATE
DECLINE

LEVERED IRR	EQUITY MULTIPLE	PURCHASE PRICE	EQUITY REQUIRED
5.68%	1.31x	$2.00M	$1.23M
hurdle 12.00%	$378,016 profit	$285,000 per unit	$832,000 senior loan

DASHBOARD

LEVERED IRR	EQUITY MULTIPLE	UNLEVERED IRR	NET LP IRR
5.68%	**1.31x**	**6.42%**	**5.68%**
Base case	$378,016 profit	1.33x multiple	after promote

GOING-IN CAP	YIELD ON COST	YEAR 1 DSCR	LEVERAGE
4.06%	**3.94%**	**1.25x**	**42.00% LTV**
Y1 NOI after reserves / price	on total basis $2.05M	minimum 1.25x	40.00% LTC · 6.75% rate

Summary of investment

52 Hoyt St is a 7-unit multifamily acquisition in Stamford, CT of about 7,599 SF. The plan is to buy it for $2.00M ($285,000 a unit, a 4.06% going-in yield), hold it 5 years and sell at a 4.06% cap rate. Total cost is $2.05M ($293,550 a unit), funded by $1.23M of equity (60.00%) and a $832,000 loan at 6.75% (40.00% of cost).

In the Base case the deal returns **5.68%** levered and **1.31x** ($378,016 of profit on $1.23M of equity), and 6.42% before financing: **6.3 points below** the 12.00% hurdle. The return rests on a 3.94% stabilised yield on cost and 3.00% rent growth, and 94.00% of what equity gets back arrives at the sale. It does not clear the hurdle in this case.

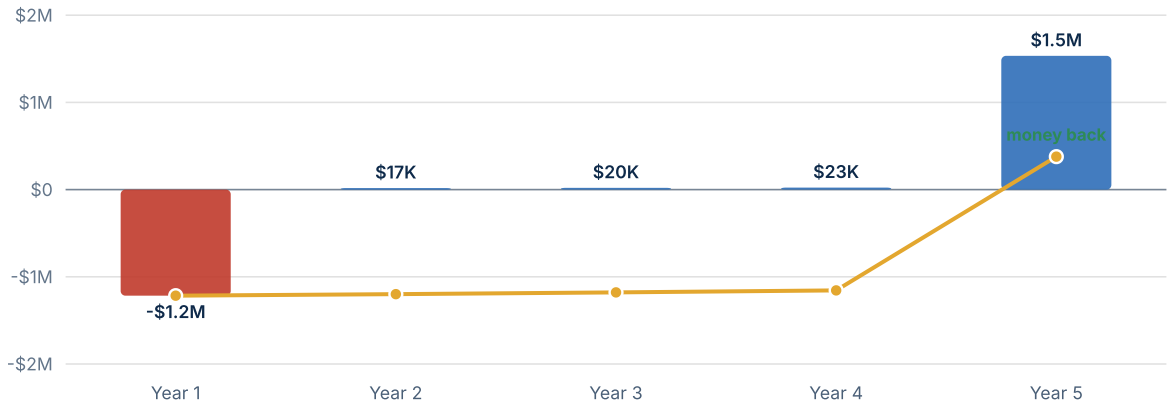
Model checks: 0 failed, 0 warnings, 12 passed, 3 not applicable. Credit gate: **DECLINE**. These are projections from the assumptions entered, not guarantees; see the pages that follow for the basis of each figure.

Levered return against the hurdle



Equity cash flow

Each year's cash to equity; the line is the running total. Year 1 includes the equity invested at close.



HOW IT HOLDS UP BY CASE

DOWNSIDE · 25.00% LIKELY	BASE · 50.00% LIKELY	UPSIDE · 25.00% LIKELY
-4.49%	**5.68%**	**11.52%**
0.80x multiple · ($260,086) profit	1.31x multiple · $378,016 profit	1.70x multiple · $830,492 profit

Probability-weighted: expected profit **$331,610**, expected multiple **1.28x**, IRR of expected cash flow **5.01%**; chance of missing the hurdle **100.00%**, of losing money **25.00%**.

FINANCIAL SUMMARY

SOURCES	AMOUNT	%
Senior loan	$832,000	40.33%
Equity	$1,231,170	59.67%
Total sources	**$2,063,170**	**100.00%**

USES	AMOUNT	%
Purchase price	$1,995,000	96.70%
Closing costs	$39,900	1.93%
Acquisition fee	$19,950	0.97%
Loan fee	$8,320	0.40%
Total uses	**$2,063,170**	**100.00%**

Financing

Loan amount	$832,000
Rate	6.75% fixed
Amortisation	30 years
Sized by	DSCR
Loan to value / cost	41.70% / 40.49%
Year 1 debt service	$64,756
Year 1 coverage	1.25x
Year 1 debt yield	9.74%
Balance at sale	$781,046

Exit

Sale at end of year	5
Forward NOI	$95,324
Exit cap rate	4.06%
Gross sale price	**$2,347,883**
Cost of sale	($46,958)
Disposition fee	($11,739)
Loan payoff	($781,046)
Net sale proceeds to equity	**$1,508,140**

Returns

Levered IRR	5.68%
Equity multiple	1.31x
Equity invested	$1,231,170
Total profit	$378,016
Unlevered IRR	6.42%
Unlevered multiple	1.33x
Average cash-on-cash	1.64%
Going-in cap / yield on cost	4.06% / 3.94%
Net LP IRR	5.68%

Where each dollar of income goes

Year 1 effective gross income, split into what it pays for and what is left.

Each $1 of Year-1 effective gross income ($149,400)



- **Taxes** — $25,719 · 17.21%
- **Operating costs** — $42,678 · 28.57%
- **Net cash after reserves** — $81,003 · 54.22%

ANNUAL CASH FLOW

ANNUAL CASH FLOW	CLOSE	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL
REVENUE							
Gross potential rent, residential		$149,400	$153,882	$158,498	$163,253	$168,151	$793,184
Effective gross income		**$149,400**	**$153,882**	**$158,498**	**$163,253**	**$168,151**	**$793,184**
OPERATING EXPENSES							
Real estate taxes		($25,719)	($26,233)	($26,758)	($27,293)	($27,839)	($133,843)
General and administrative		($42,678)	($43,958)	($45,277)	($46,635)	($48,034)	($226,583)
Total operating expenses		**($68,397)**	**($70,192)**	**($72,035)**	**($73,929)**	**($75,874)**	**($360,426)**
Net operating income		**$81,003**	**$83,690**	**$86,463**	**$89,325**	**$92,277**	**$432,758**
NOI after reserves		**$81,003**	**$83,690**	**$86,463**	**$89,325**	**$92,277**	**$432,758**
DEBT AND FEES							
Interest		($55,889)	($55,272)	($54,611)	($53,905)	($53,149)	($272,826)
Principal		($8,867)	($9,484)	($10,145)	($10,851)	($11,607)	($50,954)
Asset management fee		($1,494)	($1,539)	($1,585)	($1,633)	($1,682)	($7,932)
Cash flow after debt service		**$14,753**	**$17,395**	**$20,122**	**$22,936**	**$25,840**	**$101,046**
CAPITAL EVENTS							
Equity invested	($1,231,170)	–	–	–	–	–	($1,231,170)
Gross sale price		–	–	–	–	$2,347,883	$2,347,883
Cost of sale		–	–	–	–	($46,958)	($46,958)
Disposition fee		–	–	–	–	($11,739)	($11,739)
Loan payoff		–	–	–	–	($781,046)	($781,046)
Net cash flow to equity	**($1,231,170)**	**$14,753**	**$17,395**	**$20,122**	**$22,936**	**$1,533,980**	**$378,016**

MEASURES	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Debt service coverage	1.25x	1.29x	1.34x	1.38x	1.42x
Debt yield (NOI after reserves / loan)	9.74%	10.17%	10.63%	11.12%	11.64%
Cash-on-cash return	1.20%	1.41%	1.63%	1.86%	2.10%
Expense ratio	45.78%	45.61%	45.45%	45.28%	45.12%
NOI margin	54.22%	54.39%	54.55%	54.72%	54.88%
NOI growth		3.32%	3.31%	3.31%	3.31%
Loan balance, year end	$823,133	$813,649	$803,504	$792,653	$781,046

Close is the equity invested at closing. Net cash flow to equity sums to **$378,016** of profit on **$1.23M** invested (1.31x, 5.68% levered IRR). Controllable expenses are shown by line in proportion to their inputs; the engine scales them together with occupancy and growth. Debt yield is NOI after reserves over the loan balance at the start of the year.

DISTRIBUTION WATERFALL

EQUITY	%	AMOUNT
LP	90.00%	$1,108,053
GP (sponsor)	10.00%	$123,117
Total equity	**100.00%**	**$1,231,170**

PROMOTE	HURDLE	LP	GP
Tier 1	7.00% pref	90.00%	10.00%
Catch-up	5.00% of profit	0.00%	100.00%
Tier 2	10.00% IRR	50.00%	50.00%
Tier 3	15.00% IRR	45.00%	55.00%
Tier 4	above	40.00%	60.00%

RESULTS	LP	GP
Contributed	$1,108,053	$123,117
Distributed	$1,448,268	$160,919
Profit	$340,215	$37,802
Return of capital	$1,017,211	$113,023
Preferred return	$431,057	$47,895
Excess cash flow	—	—
Promote	—	—
IRR	5.68%	5.68%
Equity multiple	1.31x	1.31x
GP promote		**–**

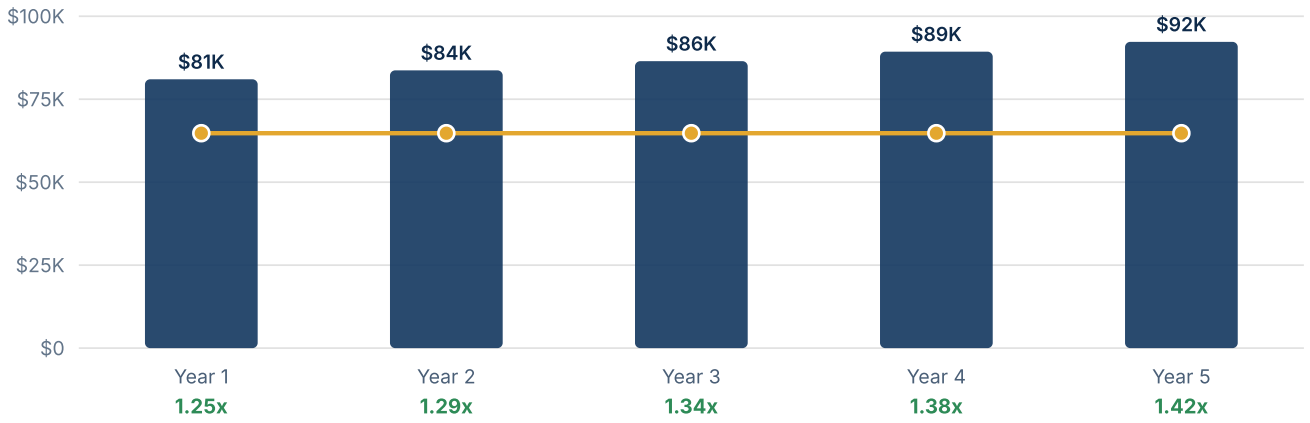
WATERFALL	CLOSE	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Cash flow available for distribution	**($1,231,170)**	**$14,753**	**$17,395**	**$20,122**	**$22,936**	**$1,533,980**
TIER 1 · RETURN OF CAPITAL + 7.00% PREFERRED RETURN						
Beginning balance	–	$1,108,053	$1,171,697	$1,237,793	$1,305,752	$1,375,855
Preferred return accrued	–	$77,118	$81,523	$86,059	$90,735	$95,559
Contributions	$1,108,053	–	–	–	–	–
Distributions applied	–	($13,475)	($15,427)	($18,100)	($20,632)	($1,380,571)
Ending balance	**$1,108,053**	**$1,171,697**	**$1,237,793**	**$1,305,752**	**$1,375,855**	**$90,842**
Distributed to LP (90.00%)	–	$13,278	$15,656	$18,110	$20,642	$1,380,582
Distributed to GP (10.00%)	–	$1,475	$1,740	$2,012	$2,294	$153,398
GP CATCH-UP · TO 5.00% OF PROFIT						
Distributed to GP (100.00%)	–	–	–	–	–	–
TIER 2 · TO 10.00% IRR						
Beginning balance	–	$1,108,053	$1,204,662	$1,309,109	$1,421,090	$1,541,622
Return accrued at 10.00% IRR	–	$110,158	$119,762	$130,068	$141,150	$153,083
Distributions applied	–	($13,549)	($15,315)	($18,087)	($20,618)	($1,380,555)
Ending balance	**$1,108,053**	**$1,204,662**	**$1,309,109**	**$1,421,090**	**$1,541,622**	**$314,150**
Distributed to LP (50.00%)	–	–	–	–	–	–
Distributed to GP (50.00%)	–	–	–	–	–	–
TIER 3 · TO 15.00% IRR						
Beginning balance	–	$1,108,053	$1,259,601	$1,432,386	$1,627,914	$1,850,069
Return accrued at 15.00% IRR	–	$165,209	$187,895	$213,579	$242,730	$275,868
Distributions applied	–	($13,661)	($15,110)	($18,051)	($20,575)	($1,380,505)
Ending balance	**$1,108,053**	**$1,259,601**	**$1,432,386**	**$1,627,914**	**$1,850,069**	**$745,431**
Distributed to LP (45.00%)	–	–	–	–	–	–
Distributed to GP (55.00%)	–	–	–	–	–	–
TIER 4 · ABOVE 15.00% IRR						
Distributed to LP (40.00%)	–	–	–	–	–	–
Distributed to GP (60.00%)	–	–	–	–	–	–
PARTNER CASH FLOWS						
LP cash flow	**($1,108,053)**	**$13,278**	**$15,656**	**$18,110**	**$20,642**	**$1,380,582**
GP cash flow	**($123,117)**	**$1,475**	**$1,740**	**$2,012**	**$2,294**	**$153,398**
GP promote (above its 10.00% pro rata share)	–	–	–	–	–	–

Hurdle accounts accrue monthly at each hurdle rate on the LP's own contributions and are reduced only by what the LP receives, so a tier opens once the LP has reached that return. Close is the equity contributed at closing. Every figure is the engine's monthly waterfall rolled up by year.

PERFORMANCE AND SENSITIVITY

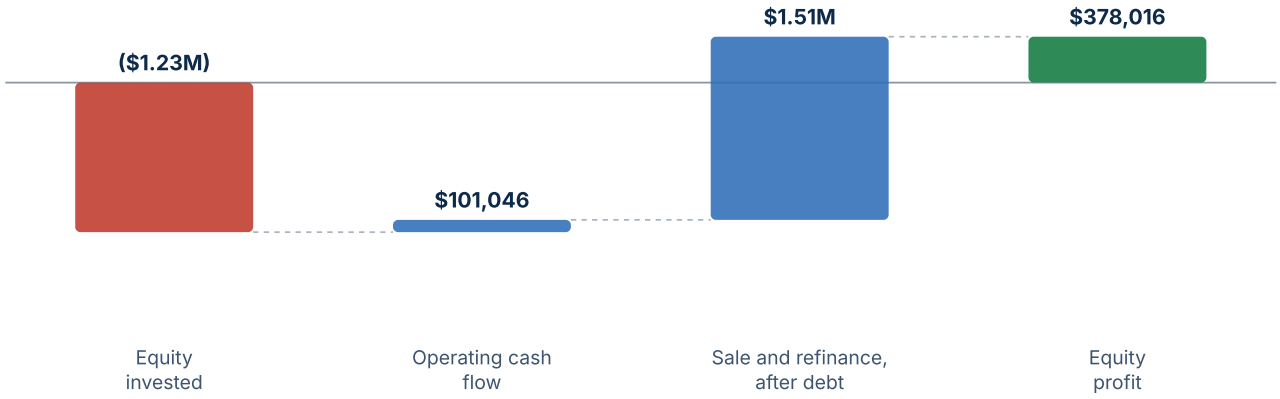
Income against debt service

Bars are NOI after reserves, the line is debt service, the figure under each year is coverage.



Where the profit comes from

Equity in, operating cash flow, then sale proceeds net of the loan.



Return sensitivity

Levered IRR as exit cap and rent growth move.

	3.56%	3.81%	4.06%	4.31%	4.56%
2.00%	6.71%	4.61%	2.62%	0.71%	-1.11%
2.50%	8.22%	6.14%	4.18%	2.30%	0.50%
3.00%	9.68%	7.62%	**5.68%**	3.82%	2.05%
3.50%	11.10%	9.05%	7.12%	5.29%	3.54%
4.00%	12.47%	10.44%	8.53%	6.71%	4.98%

Levered IRR. Columns: exit cap rate. Rows: annual rent growth. Green meets the 12.00% hurdle, red is furthest below it. Outlined cell is the base case.

KEY ASSUMPTIONS

Purchase price	$2.00M ($285,000/unit)
Exit cap rate	4.06%
Hold period	5 years
Rent growth	3.00% / yr
Expense growth	3.00% / yr
Vacancy	0.00%
Management fee	0.00% of EGI
Sale cost	2.00%

CREDIT AND MARKET

CREDIT GATE	DEAL	POLICY	RESULT
Gross levered IRR (property) (hard)	5.68%	>= 12.00%	FAIL
Net LP IRR (after promote) (hard)	5.68%	>= 12.00%	FAIL
Net LP equity multiple	1.31x	>= 2.00x	FAIL
Year-1 DSCR (senior) (hard)	1.25x	>= 1.25x	PASS
Year-1 debt yield (senior) (hard)	9.74%	>= 8.50%	PASS
Senior LTV (hard)	41.70%	<= 65.00%	PASS
Requested debt vs. house capacity (hard)	$832,000	<= $718,812	FAIL
Going-in cap rate (Year-1 NOI / price)	4.06%	>= 5.00%	FAIL
Break-even economic occupancy	89.13%	<= 75.00%	FAIL
Exit cap cushion to target IRR (bps)	-76.38	>= 0	FAIL
Stabilized NOI decline tolerance	6.38%	>= 15.00%	FAIL
Rent cushion vs. break-even	0.04%	>= 10.00%	FAIL

Decision: DECLINE

DECLINE — 3 HARD / 6 SOFT EXCEPTIONS

Hard: Net LP IRR: 632 bps below policy (5.68% vs 12.00%)

Hard: Debt: $0.11M above capacity ($0.83M vs $0.72M)

Hard: Gross levered IRR: 632 bps below policy (5.68% vs 12.00%)

Soft: Going-in cap rate: 94 bps below policy (4.06% vs 5.00%)

Soft: Net LP equity multiple: 1.31x vs 2.00x required

Next step: Resize senior debt to <= $0.72M, renegotiate price / economics, or record a documented credit override.

AGAINST THE MARKET

ASSUMPTION	DEAL	MARKET RANGE	STATUS
Exit cap rate	4.06%	5.00% – 6.50%	BELOW RANGE
Going-in cap rate	4.06%	5.00% – 6.50%	BELOW RANGE
Exit cap minus going-in cap	-2.95%	0.00% – 75 bps	BELOW RANGE
Operating expenses per unit per year	$9,771	$6,500 – $10,500	IN RANGE
Expense ratio	45.78%	35.00% – 50.00%	IN RANGE
Operating expense growth	3.00%	2.50% – 4.50%	IN RANGE

ABOUT THIS SUMMARY

Prepared November 4, 2026 from the Punchlist Capital underwriting model (beta). Every figure is read from the live model for the Base case; the sensitivity grid reruns the model for each cell. This summary is an analytical aid, not an offer or a fairness opinion, and is only as good as the assumptions behind it. Check it against your own model before relying on it.

IMPACT TO PORTFOLIO

First deal in the portfolio: N/A
No other underwritten assets are saved in BK Capital, so there is no portfolio to compare against. This deal would be the first asset; the figures below are the deal on its own.

This deal on its own	Acquisition · Multifamily
Equity invested / total cost	$1,231,170 / $1,995,000
Levered profit	$378,016
Levered IRR / multiple	5.68% / 1.31x

Once other deals are saved to the portfolio, this page shows the current assets and what adding this one changes: equity and leverage, the equity-weighted and combined (dated cash flow) IRR, the multiple, concentration in the largest asset, and the mix by property type and by development versus acquisition.